Impact on Jobs

Prime Minister Modi's promise in 2014 of 'Achhe Din' was embraced by the nation, in a large measure, based on his promise to create 1 crore (10 million) new jobs each year.[12]

Estimates of how many jobs are being created in India vary wildly. In 2018, government spokespersons claimed that 75 lakh (7.5 million) jobs were created in fiscal year 2017. Others contested[13] both this data and its sources,[14] claiming that only two lakh (2,00,000) jobs had been created and that the unemployment rate had risen to over 6 per cent in 2018.[15]

Just as in the case of GDP, the statistics released from time to time on jobs and employment data are often bewildering. Labour force estimates in India are drawn from four primary sources of employment data – household surveys, enterprise surveys, administrative data, and data from government schemes. Data on this number is hard to estimate accurately, mainly because a very large part of India's labour force is in the informal sector.

As a consequence, there are large variances in most Indian employment data. For example, the number of people employed in India in 2016 was estimated to be 512.76 million people by the World Bank,[16] while CMIE estimated this number at 406.5 million.

Irrespective of the absolute numbers, the India Labour and Employment Report (ILER) 2014[17] highlighted two very important features about India's labour market and employment conditions, which are quoted below:

1. An overwhelmingly *large percentage of workers (about 92 per cent) are engaged in informal employment and a large majority of them have low earnings with limited or no social protection*.

   This is true for a substantial proportion of workers in the organized sector as well. Over half the workers are self-employed, largely with a poor asset-base, and around 30 per cent are casual